

Project Anthem Factsheet

- While the abatement is set at 85%, Anthem is required to make additional payments on top of the abatement. These payments were directly structured to ensure the City had resources to address critical infrastructure in the Fair Oaks area.
- Annual, defined payments
 - For the first five (5) years of the agreement, Anthem will pay \$5M into the Fair Oaks Project Fund (a total of \$25M)
 - For the next 15 years of the agreement, Anthem will pay \$2.5M into the Fair Oaks Project Fund (an additional \$37.5M)
 - *These payments were deliberately bumped higher in the initial 5 years to ensure the City could begin accruing funding to support infrastructure investments and development in the area.*
- Annual payments tied to value of personal property investment
 - For all 25 years of the agreement, Anthem will make a payment equal to one-tenth of one percent (0.1%) of the value of all personal property on site.
 - *This payment was structured to ensure the public saw value directly tied to the ongoing investment in equipment within the facility. The PartnerTulsa team should be able provide you conservative estimates as to what this could generate.*
- Up-front infrastructure investment
 - Anthem is required to invest at least \$25M in on-site public infrastructure to support Phase 1; if their initial investment falls below this, the gap between actual expenditures and \$25M is deposited into the Fair Oaks Project Fund.
 - *This was designed to ensure Anthem met a target level of initial investment in public infrastructure.*

PSO Estimated Revenue Impacts of Project Anthem

Franchise Fee & Sales Tax:

- Franchise Fee: \$1.3M annually
- Sales Tax: \$1.5M annually (assuming no exemption)

Overview of HB 2992 Data Center Consumer Ratepayer Protection Act

Key provisions under consideration:

- Defines large load interconnection threshold at 75 MW
- Applies only to large load customers (not residential, commercial, agricultural, or standard industrial)
- Allows separate utility terms and conditions for large loads
- Requires 10-year minimum contract length
- Establishes oversight by the Oklahoma Corporation Commission
- Currently under negotiation

Large load customers are driving significant demand for new capacity. Utilities and regulators are evaluating how to allocate costs so they reflect direct benefits and avoid shifting burdens to residential or small commercial customers.

PSO Perspective: Meeting Growing Energy Needs Responsibly

Fair Cost Allocation:

Each customer class pays its fair share of generation, transmission, and distribution costs. New large customers pay for infrastructure specific to their projects and costs are not shifted to other PSO customers.

Upfront Collateral & Minimum Billing:

Large load customers must meet upfront collateral requirements and minimum contract requirements to scale with forecasted usage. Advance cancellation notice and termination fees are also required as part of the service agreements.

Regulatory Integrity:

All rate changes must be found fair, just, and reasonable by the Oklahoma Corporation Commission, following public input.

Large Load Terms:

PSO is continuously evaluating new standard terms and conditions to ensure infrastructure and grid impacts from large loads are not unduly passed onto existing customers.

Economic Development & Reliability:

Attracting large projects keep Oklahoma competitive, creates jobs, and generates tax revenue that benefits local communities.

PSO takes a Balanced Approach and only reserves capacity for committed projects and adds new customers at a pace that protects reliability.

Large customers help spread fix costs and can strengthen resiliency, supporting affordability for all.